

Yearly position, performance. Where in the yearly price range do the best performing pipes occur? Pipes with breakouts within a third of the yearly low perform best. You'll want to avoid the other two ranges. This pattern seems made for bottom fishers, people who like to buy low and sell high (as opposed to momentum traders who buy high and sell higher).

[Table 49.5](#) shows size statistics for the pipe pattern. Tall patterns perform better than short ones, continuing a trend shown by many other chart pattern types. In bull markets, for example, tall patterns see rises that average 61%, which is well above the 48% gain posted by short patterns.

To determine what is short or tall, compute the height of the pipe pattern from the higher of the two pipe spikes to the lower of the two. Divide the height by the price of the higher of the two spikes (the breakout price). If the result is bigger than the median shown in the table, then you have a tall pipe.

[Table 49.6](#) shows volume statistics for pipes.

Volume trend. The volume trend is near random, but tilts toward downward. That means the left spike will show higher volume than the right one. Does it matter if it does or doesn't? Let's find out.

[Table 49.4](#) Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 62%, M 49%, H 53%	L 37%, M 33%, H 29%

Rising/Falling volume. If the left spike in the pipe shows higher volume than the right one (so volume falls), performance improves in bull markets. Bear markets don't seem to care much, but favor a rising volume trend.

Breakout volume. Pipes with breakout volume above the 1-month average tend to outperform, and quite substantially, too. Bear markets show the same trend, but performance is nearly the same.

[Table 49.7](#) shows how often price reaches a stop location. A stop placed at the top of the pattern will trigger in two out of three trades (or more). I